

SENATE BILL 2385

By Hensley

AN ACT to amend Tennessee Code Annotated, Title 49,
Chapter 1 and Title 49, Chapter 3, relative to
economically disadvantaged students.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-3-104(10), is amended by
deleting the subdivision and substituting:

(10) "Economically disadvantaged" means:

(A) As defined in Tennessee's Every Student Succeeds Act (ESSA) plan
established pursuant to the federal Every Student Succeeds Act (20 U.S.C. §
6301 et seq.), a homeless, foster, runaway, or migrant student or a student
eligible for free or reduced-price school meals or milk through the direct
certification eligibility guidelines established pursuant to 42 U.S.C. §§ 1751-1769;
and

(B) A student who is:

(i)

(a) A medicaid beneficiary; or

(b) From a household that receives benefits under the
Supplemental Nutrition Assistance Program (SNAP), Temporary
Assistance for Needy Families (TANF), or the Food Distribution
Program on Indian Reservations (FDPIR); and

(ii) Eligible for free school meals or milk through the direct
certification eligibility guidelines established pursuant to 42 U.S.C. §§
1751-1769;

SECTION 2. Tennessee Code Annotated, Section 49-3-108, is amended by adding the following as a new subsection:

(j)

(1) Beginning with TISA allocations for the 2027-2028 school year, if an LEA's TISA allocation for the current school year is less than the LEA's TISA allocation for the immediately preceding school year, and the reduction is due to a reduction in the LEA's weighted allocations generated pursuant to § 49-3-105(b)(1) based on the amount of economically disadvantaged students, then the department shall allocate additional funds to the LEA such that the weighted allocations generated by the LEA pursuant to § 49-3-105(b)(1) for the current school year is equal to the weighted allocations generated by the LEA pursuant to § 49-3-105(b)(1) for the immediately preceding school year.

(2) Any additional funds provided to an LEA pursuant to this subsection (j) must be solely state funded. If an LEA is eligible for additional funds under this subsection (j) and subsection (c) or subsection (i), then the department shall award additional funds to the LEA pursuant to this subsection (j) first before any calculations are made for purposes of subsection (c) or subsection (i).

(3) This subsection (j) is repealed on July 1, 2030.

SECTION 3. The department of education shall, no later than January 1, 2027, submit a request to the United States department of education to amend this state's Every Student Succeeds Act (ESSA) plan for purposes of changing the definition of the economically disadvantaged subgroup to include all students who are directly certified to receive free lunch without having to complete the household application and that homeless, runaway, and migrant children and children from households that receive benefits under the Supplemental Nutrition Assistance Program (SNAP), Temporary Assistance for Needy Families (TANF), the Food

Distribution Program on Indian Reservations (FDPIR), or the state's Medicaid program, are deemed "categorically eligible" for free school meals and are directly certified.

SECTION 4. Section 3 of this act takes effect upon becoming a law, the public welfare requiring it. All other sections of this act take effect July 1, 2026, the public welfare requiring it.